

EQNR: Equinor ASA

Deep Value Disconnect · 2026 Earnings Inflection · Fortress Balance Sheet

NTM P/E	NTM EV/EBITDA	Fwd 2-Yr EPS CAGR	Net Debt/EBITDA 2026E
7.88x	2.21x	25.9%	0.14x
Deep value	Rock-bottom	2-Year Forward	Near debt-free
Value Score	Growth Score	ROE 2026E	Dividend Yield
59/100	63/100	27.3%	4.4%
Top-tier value	Solid growth	FY2026 Estimate	Cash return

THE DEEP VALUE & CASH ENGINE

Equinor represents a textbook asymmetric risk-reward setup. Our models have flagged EQNR as a **Top 20 high-conviction play within the entire European equity universe**. Combining a deeply compressed valuation with an imminent operational inflection point targeted for late 2026, the stock offers an exceptional mix of capital efficiency, a bulletproof balance sheet, and a sovereign-like cash generation engine.

1 · Valuation Disconnect & Deep Value Moat

Equinor is currently trading at multiples that imply structural decline, completely disconnected from its underlying operational strength.

- **Depressed Multiples:** Trading at a mere **7.88x NTM P/E** and a rock-bottom **2.21x NTM EV/EBITDA**, the entry point offers an exceptional margin of safety.
- **Undervalued Cash Flow:** An NTM Market Cap/FCF of **8.87x** demonstrates that the business is yielding massive cash relative to its market valuation.

2 · The 2026 Operational & Earnings Inflection

The core of our bullish thesis lies in the dramatic earnings pivot projected over the next 12 months.

- **Revenue & EBITDA Acceleration:** Revenue is forecast to grow **+16.7%** in 2026 to over NOK 124 billion, while EBITDA margins are expected to expand significantly from 35.4% to **42.4%**.
- **EPS Explosion:** Normalised EPS is projected to jump from 2.47 in 2025 to **4.93 in 2026 (+99.8% YoY)**, driving a powerful **25.9% Forward 2-Year CAGR**.

3 · Capital Efficiency & Fortress Balance Sheet

Equinor combines cyclical upside with the financial stability of a sovereign-like entity.

- **Top-Tier Returns:** The company boasts an LTM Return on Invested Capital (ROIC) of **29.5%**. Return on Equity (ROE) is forecast to expand from 15.5% to **27.3%** by FY2026.
- **Deleveraging Power:** Net Debt/EBITDA is projected to drop from an already safe 0.32x down to a negligible **0.14x** in 2026, securing the **4.4% Dividend Yield** and supporting robust FCF generation (**+78.9% YoY** expected in 2026).

The Bottom Line

Equinor offers a rare combination of deeply compressed value multiples and explosive near-term growth inflection, officially ranking as a Top 20 stock in Europe according to our multi-factor model. The stock provides strong downside protection through its cash-generative assets and fortress balance sheet. For institutional portfolios seeking high-yielding energy exposure with an imminent macro and fundamental catalyst, EQNR stands out as a high-conviction name within our European large-cap universe.

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